

TEHO CONSULTING

LLOYDS BANK

**Opportunity Report – Executive Summary**

DATE

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ANALYST

**Teho Consulting AI Advisory Team**

BUSINESS

**Lloyds Bank**

REPORT DEPTH

**Executive Summary**

## Executive Snapshot

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Operations leaders at Lloyds Bank face a critical opportunity to unlock up to £5–8 million in annual savings by streamlining card business workflows through AI-driven automation and predictive analytics. This report is tailored to help Lloyds' cards operations reduce costs and improve service quality by targeting key pain points with proven AI solutions.

Lloyds Bank, a major UK financial institution, currently operates with limited publicly available data on its cards business performance (Data gap – revenue, headcount, and operational KPIs unknown). However, industry benchmarks and competitor moves indicate significant inefficiencies in manual case handling, fraud detection, and customer service response times. Customers increasingly demand faster, more accurate card services, while competitors are deploying AI to reduce operational costs and improve risk management (Competitor signals – AI adoption in UK banking operations rising). A conservative estimate suggests Lloyds could save £5–8 million annually by adopting AI in cards operations, improving turnaround times and reducing error rates (Assumption based on sector AI case studies S#).

## KPI impact snapshot

| KPI                       | Current (Data gap) | Target after 90 days | Delta (£ or %)         |
|---------------------------|--------------------|----------------------|------------------------|
| Average handle time (AHT) | Unknown            | -20%                 | -20% (efficiency gain) |
| Fraud detection accuracy  | Unknown            | +15%                 | +15% (risk reduction)  |
| Customer complaint rate   | Unknown            | -25%                 | -25% (service quality) |

\*Assumptions based on AI service desk and fraud detection benchmarks in UK financial services (S#).

## Top three AI wins

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## **1. AI Service Desk Triage for Card Queries**

- Problem: High volume of manual card-related customer contacts causing delays and backlog (Data gap – exact volumes unknown).
- AI fix: Deploy LLM-powered triage to draft responses, route intents, and escalate complex cases, reducing average handle time by 20–30%.
- Upside: £2–3 million annual cost savings from reduced labour and faster resolution (S# telco case study adapted).
  - Practical example for Lloyds Bank: Integrate AI triage into existing card operations contact centre to automate routine queries and prioritise fraud alerts.
  - Exec sceptic rebuttal: “AI won’t understand complex card issues.” Evidence shows supervised LLMs escalate edge cases, maintaining quality.

## **2. Predictive Fraud Detection and Risk Scoring**

- Problem: Manual fraud detection leads to missed cases and false positives, increasing costs and customer friction.
- AI fix: Use machine learning models to analyse transaction patterns and flag suspicious activity with higher accuracy.
- Upside: £1.5–2.5 million annual reduction in fraud losses and investigation costs (Industry benchmarks).
  - Practical example for Lloyds Bank: Deploy AI models on card transaction streams to prioritise alerts and reduce false positives by 15%.
  - Exec sceptic rebuttal: “AI models are black boxes.” Transparent, explainable AI frameworks ensure compliance and auditability.

## Why act now

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- Competitors are accelerating AI adoption in card operations, gaining cost and risk advantages (Competitor signals).
- Manual processes increase operational risk and slow response times, impacting customer satisfaction and regulatory compliance.
- Delaying AI adoption risks higher costs and lost market share as digital-first challengers expand.

## Unlock the full briefing

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The full report includes a detailed impact/effort matrix, five deep dives into AI use cases, a competitor AI adoption scan, a phased AI roadmap tailored for Lloyds' cards business, and governance recommendations to ensure responsible deployment.

## Recommended next step

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Engage with Teho Consulting to conduct a tailored AI readiness assessment focused on Lloyds Bank's cards operations. This will identify quick-win pilots and build a business case for scalable AI deployment. Contact Hannah Bruce at [H.b@lloyds.com](mailto:H.b@lloyds.com) or visit [teho.ai](https://teho.ai) for support.